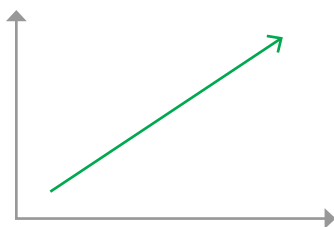


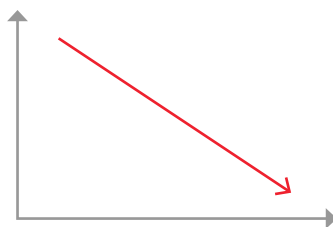
Option selling

Option selling has a higher probability of success (66.67% or $\frac{2}{3}$) due to theta decay. However, even as an option seller, you must align trades with the market view. Here's the thumb rule:

If the market is bullish, sell puts. If the market is bearish, sell calls.



Uptrend : Call Option



Downtrend : Put Option

You should be very particular about choosing strikes, entry prices, stop-losses, and exit strategies. Further, since sellers face unlimited risk and limited rewards, risk management is imperative.

Option strategy

In this book, we emphasised how options strategies allow you to play a broader range of views than naked option buying or selling. Some strategies we discussed were:

Bullish: Bull call spread, bull call ladder, or butterfly

Bearish: Bear put spread or bear put ladder

Range-bound: Short straddle, short strangle, or iron fly

Volatile: Long straddle or long strangle

When you use option strategies, you should always consider the risk-reward ratio, margin requirements, return on investment (ROI), and adjustments for changing conditions.